

NOTES TO AND FORMING PART OF THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 30 JUNE 2000

20. EXPENDITURE COMMITMENTS (continued)

Note	Consolidated		Company	
	2000	1999	2000	1999
	\$	\$	\$	\$
(c) Bareboat Charter Agreements				
Not later than 1 year	–	184,000	–	–
Aggregate charter expenditure contracted for at balance date	–	184,000	–	–

21. EMPLOYEE ENTITLEMENTS AND SUPERANNUATION COMMITMENTS

Employee Entitlements

The aggregate employee entitlement liability is comprised of:

Accrued wages and on-costs	194,098	149,201	–	–
Provisions - current	371,518	654,633	–	–
Provisions - non current	222,758	187,262	–	–
	788,374	991,096	–	–

Employee Share Option Incentive Plan

A Share Option Incentive Plan has been established where employees of the consolidated entity with appropriate seniority and length of service have been issued with options over ordinary shares of Mermaid Marine Australia Limited.

The options cannot be transferred and are not quoted on the ASX.

On 19 June 1999, 730,000 options were issued under this plan to employees. Since the date of issue 115,000 options have expired due to the non exercise of the options by employees who have since left Mermaid's employ. Of the remaining 615,000 ordinary shares under option pursuant to the Employee Option Plan, half (307,500) may be purchased within 12 months of 18 June 2000 at an issue price of 60 cents per share and half (307,500) may be purchased within 12 months of 18 June 2000 at an issue price of 70 cents per share.

The market value of ordinary Mermaid Marine Australia Limited shares closed at 30 cents on 30 June 2000.